IGCSE ECONOMICS · SECTIONS 2.1 TO 2.5 · A1/A2 ENGLISH

Study Companion: Markets, Demand, Supply and Price Changes

Sách học tập: Thị trường, Cầu, Cung và Sự thay đổi giá

How to use this book

Cách dùng sách này

1	2	3	4
Learn the words Học từ vựng	Think: do the task Suy nghĩ: làm bài	Practise the questions Luyện câu hỏi	Check your answers at the back Xem đáp án ở cuối sách

What is in this book

Nội dung

Part	Topic	Tiếng Việt
Start here	The one big rule · Paper 2 toolkit	Quy tắc · Bộ công cụ Paper 2
2.1	Markets	Thị trường
2.2	Demand	Cầu
2.3	Supply	Cung
2.4	Price determination	Sự hình thành giá
2.5	Price changes	Sự thay đổi giá
Back pages	Answers · Mark schemes · Glossary	Đáp án · Hướng dẫn chấm · Bảng thuật ngữ

Name: _____ Class: _____

The one big rule

Quy tắc quan trọng nhất

Something changes in a market. Ask **one question**:

Did the price of THIS product change?
Giá của CHÍNH sản phẩm này có thay đổi không?

YES → move ALONG the curve

Same curve. The point moves.

Words: **extension / contraction**

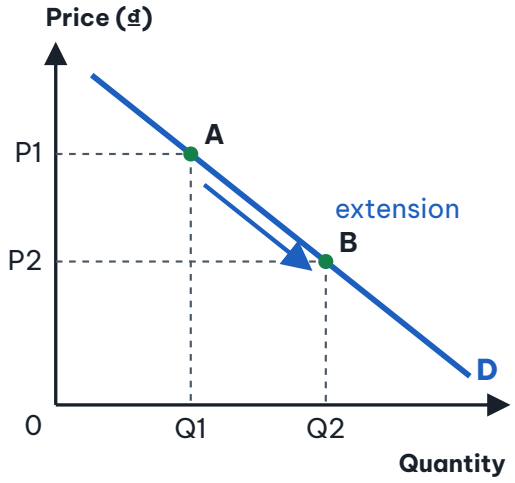
CÓ → di chuyển DỌC đường cong (lượng thay đổi)

NO, something else changed → the curve SHIFTS

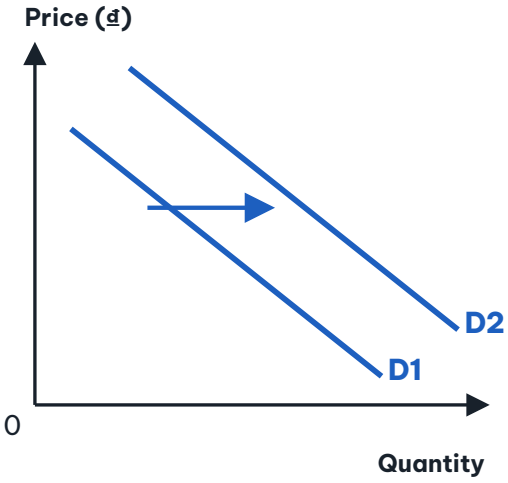
New curve. Right = more. Left = less.

Words: increase / decrease

KHÔNG → cả đường cong DỊCH CHUYỂN



Move along: price falls, people buy more.



Shift: people buy more at **every** price.

START HERE

Paper 2 toolkit

Công cụ cho bài thi Paper 2

Every Paper 2 question in this book has 3 parts: **(a) 2 marks, (b) 4 marks, (c) 6 marks**.

Word in the question	What to do	Your answer looks like
Define or **State** [2] Định nghĩa · Nêu	Give the meaning. Use 2 key ideas.	▢▢ 1 sentence
Explain [4] Giải thích	2 points. Each point: **name it + say why**.	▢▢ + ▢▢ 2 short paragraphs
Analyse [6] Phân tích	A chain of 6 steps. Each step leads to the next. Draw a diagram.	▢ → ▢ → ▢ → ▢ → ▢ → ▢ 6 linked sentences

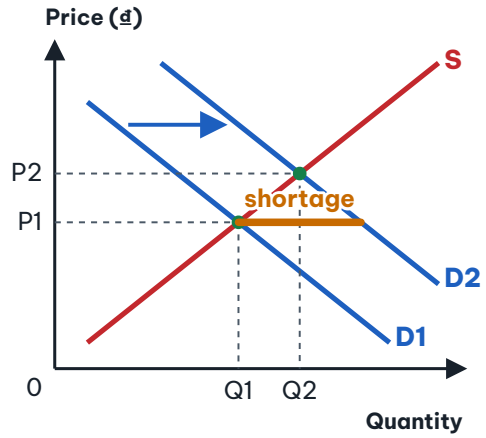
Chain words

Use these words to join your steps: **so** · **this means** · **as a result** · **because**

Từ nối: vì vậy · điều này có nghĩa là · kết quả là · bởi vì

Diagram checklist

Danh sách kiểm tra khi vẽ biểu đồ



A complete diagram.

1. Label the axes: **Price (₫)** and **Quantity**.
2. Demand in **blue** (goes down). Supply in **red** (goes up).
3. Name every curve: D1, D2, S1, S2.
4. Draw an arrow to show the shift.
5. Draw dotted lines to the axes: P1, Q1, P2, Q2.
6. Mark the shortage or surplus.

SECTION 2.1

2.1 Markets

Thị trường

Words

market
Where people buy and sell. It can be a place or online.
Exam: a place or system where buyers and sellers come together to exchange goods and services.
thị trường

buyer · seller
A buyer pays money. A seller gives the product.
Example: Minh buys mangoes from Mrs Lan.
người mua · người bán

product market
Families buy things from firms.
Example: a family buys a motorbike.
thị trường hàng hóa và dịch vụ

factor market
Firms buy or hire workers, land and machines.
Example: a factory hires workers.
thị trường yếu tố sản xuất

price mechanism
Prices go up and down. This tells firms what to make.
Three jobs: signal, incentive, rationing.
cơ chế giá

scarce
There is not enough for everyone.
Example: land in District 1 is scarce.
khan hiếm

THINK 1

Who buys? Who sells?

Read. Write **B** (buyer) or **S** (seller) next to each person.

Đọc. Viết B (người mua) hoặc S (người bán).

1. Mrs Lan sells fruit at Bến Thành Market. _____ Minh buys 1 kg of mangoes from her. _____
2. A shop on Shopee sells phone cases. _____ You order one online. _____
3. Is Shopee a market? Circle: **yes** / **no**. Why?
   _____

THINK 2

Product market or factor market?

Write the card numbers in the right box.

Viết số của thẻ vào đúng ô.

1 A family buys a Honda Vision.	**2** A factory in Bình Dương hires 50 workers.
3 A café rents a shop in District 1.	**4** A student buys a bánh mì.
5 A farmer rents land in the Mekong Delta.	**6** A tourist buys a lantern in Hội An.
7 You buy a ticket for a concert.	**8** A tech company buys new computers for its office.

Product market (families buy):	**Factor market (firms buy or hire):**

THINK 3

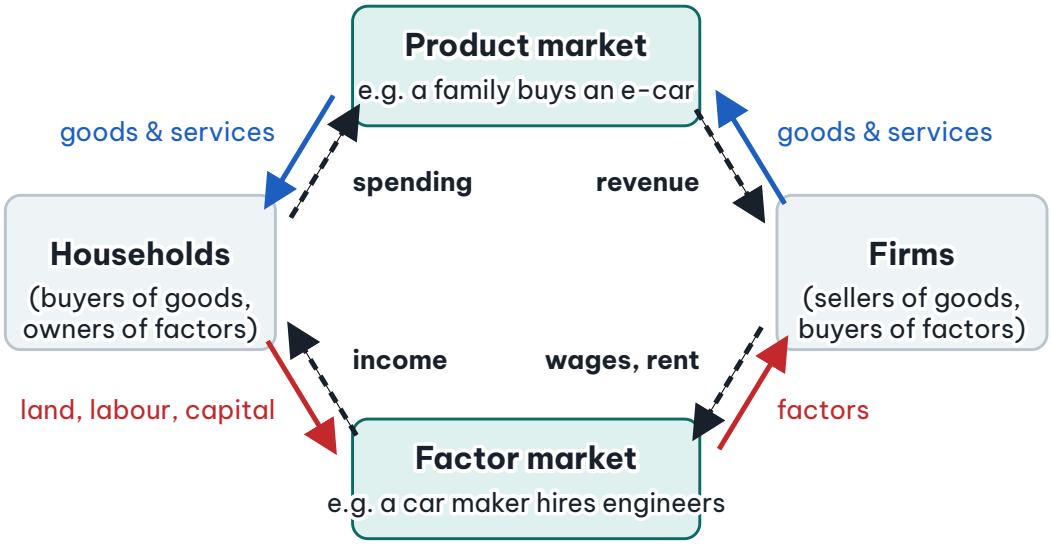
Prices send messages

Read the story. Match each job of the price to a box: **Signal**, **Incentive**, **Rationing**.

Đọc câu chuyện. Nối mỗi chức năng của giá với một ô.

1	2	3	4
Everyone wants the new pink phone. Shops have only a few.	Shops raise the price. The factory sees the high price: people want this phone!	Some people say: “Too expensive!” They wait or buy a different phone.	The factory earns more on each phone. It hires more workers and makes more.

Signal = box _____ · Incentive = box _____ · Rationing = box _____



Solid arrows: goods and factors. Dashed arrows: money, going the other way. Mũi tên liền: hàng hoá và yếu tố sản xuất. Mũi tên đứt: tiền, đi theo chiều ngược lại.

Paper 1 practice

Trắc nghiệm: chọn A, B, C hoặc D.

1. What is the main role of a market?

A to let the government decide all prices
B to bring buyers and sellers together to trade
C to give every worker the same income
D to remove the problem of scarcity

2. Which exchange takes place in a factor market?

A a family buys a new motorbike
B a student buys bubble tea at a café
C a tourist pays for a hotel room in Hà Nội
D a garment factory pays rent for a building

3. What is the role of buyers in a market?

A They show demand by being willing and able to pay.
B They set the price that every firm must charge.
C They make goods and services to earn a profit.
D They decide the lowest wage that firms may pay.

4. Consumers start to like a product more. How does the price mechanism tell producers?

A The price of the product falls.
B The government pays firms a subsidy.
C The price of the product rises.
D The supply of the product contracts.

Paper 2 practice

READ FIRST · ĐỌC TRƯỚC

Electric cars in Việt Nam

More families in Việt Nam want electric cars. They are quiet and cheap to run. Families buy cars from car makers in the **product market**. To make more cars, a car maker hires engineers, rents land and buys machines in **factor markets**. Some popular cars have a waiting list of three months.

Define **(a) Define the term *market*.** **[2]**

Step 1: Choose the best answer. · Chọn đáp án đúng nhất.

A A shop that sells food.

B A place or system where buyers and sellers come together to exchange goods and services.

C Money that people use to buy things.

Step 2: Copy it. Underline the 2 key ideas: <u>who</u> and <u>what they do</u>.

Explain **(b) Explain the difference between a product market and a factor market. Use an example of each from the context.** **[4]**

Step 1: Fill the gaps. Use the word bank. · Điền vào chỗ trống.

households | firms | firms | electric car | labour | engineers

In a product market, _____ buy goods and services from _____. For example, a family buys an _____. In contrast, in a factor market, _____ buy or hire factors of production, like _____ and land. For example, the car maker hires _____.

Step 2: Now you. Write one more example of each market from your town.

Product market: _____

Factor market: _____

Analyse **(c) Analyse how the price mechanism allocates scarce resources when consumer demand for electric cars increases.** **[6]**

Step 1: Put the 6 steps in order. · Sắp xếp 6 bước theo đúng thứ tự.

A The price of electric cars rises. This tells car makers: people want more cars. *(signal)*

B Demand for electric cars increases. The demand curve shifts right.

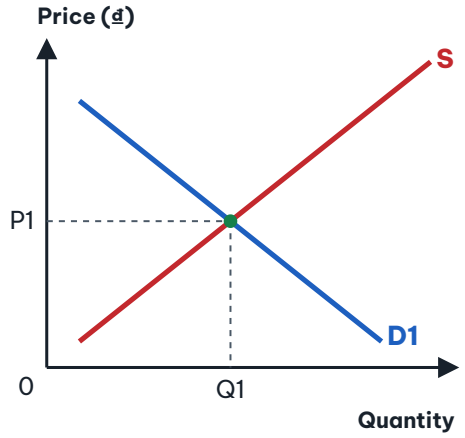
C New equilibrium: higher price and higher quantity. More resources now make electric cars.

D At the old price, people want more cars than there are. There is a shortage.

E Higher price = more profit. Firms hire more workers and buy more machines. Supply extends. *(incentive)*

F The higher price makes some buyers buy less. Demand contracts. *(rationing)*

Order: ☐ → ☐ → ☐ → ☐ → ☐ → ☐



Step 2: Finish the diagram. Add D2, P2, Q2 and the shortage.

Step 3: Write the steps as sentences in your notebook. Join them with so, this means, as a result.

> **Watch out:** the supply curve does **not** shift. Supply **extends** (moves along the curve).

SECTION 2.2

2.2 Demand

Cầu

Words

demand

How much people want to buy **and** can pay for, at each price.

Exam: the quantity consumers are willing and able to buy at each price in a given time period.

cầu

effective demand

You want it **and** you have the money.

Wanting a car with no money is not demand.

cầu có khả năng thanh toán

law of demand

Price goes down → people buy more. Price goes up → people buy less.

So the demand curve goes down.

luật cầu

market demand

Add up everyone's demand at each price.

Individual demand = one person.

cầu thị trường · cầu cá nhân

extension of demand

Price falls → people buy more. Move DOWN along the curve.

lượng cầu tăng (di chuyển xuống dọc đường cầu)

contraction of demand

Price rises → people buy less. Move UP along the curve.

lượng cầu giảm (di chuyển lên dọc đường cầu)

increase in demand

People buy more at **every** price. The curve shifts RIGHT.

cầu tăng (đường cầu dịch chuyển sang phải)

decrease in demand

People buy less at **every** price. The curve shifts LEFT.

cầu giảm (đường cầu dịch chuyển sang trái)

substitute

You use it **instead of** another product.

phở or bánh mì · coffee or tea

hàng hóa thay thế

complement

You use it **together with** another product.

petrol and a motorbike

hàng hóa bổ sung

normal good
More money → you buy more of it.
trà sữa, phones, clothes
hàng hóa thông thường

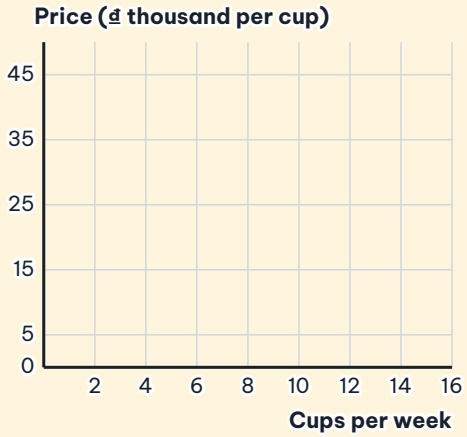
condition of demand
Anything (not the price) that changes demand. See PASIFIC.
yếu tố quyết định cầu

THINK 1

My trà sữa demand

How many cups of trà sữa will **you** buy in one week at each price? Write your numbers. Then plot them on the grid and join the dots in blue.

Mỗi tuần bạn sẽ mua bao nhiêu ly trà sữa ở mỗi mức giá? Viết số, rồi vẽ lên lưới.



Price per cup	Cups per week (me)
15,000₫	
25,000₫	
35,000₫	
45,000₫	

When the price goes up, I buy **more** / **fewer** cups.

My line goes **up** / **down** from left to right.

This is the _____ of demand.

Class challenge: add up everyone's cups at 25,000₫. Total = _____ cups. This is **market demand**.

THINK 2

Walk along your curve

Put your finger on your curve at 25,000₫. Now the price changes. Move your finger **along** the line.

Đặt ngón tay lên đường cầu của bạn tại 25.000₫. Giá thay đổi: di chuyển dọc theo đường.

The price changes…	My finger moves up or down?	I buy more or fewer?	Extension or contraction?
25,000₫ → 35,000₫			
35,000₫ → 15,000₫			

Did the curve move? **yes** / **no**

THINK 3

Tết bonus

It is Tết. You get **500,000₫** lì xì. Now how many cups will you buy at **each** price? Write the new numbers. Plot them on the same grid with a dotted line.

Tết đến, bạn nhận 500.000₫ lì xì. Bây giờ bạn mua bao nhiêu ly ở MỖI mức giá?

Price per cup	Before Tết (copy)	After lì xì
15,000₫		
25,000₫		
35,000₫		
45,000₫		

Did your numbers change at **one price** or at **every price**? _____

So the whole curve shifts to the **left** / **right**. This is an _____ in demand.

> **Key idea:** a shift means **new numbers at every price**. A movement means the **same numbers**, but a different price.

THINK 4

Move or shift? The bánh mì market

Use the big rule. Write each card number in the right box. · Dùng quy tắc lớn. Viết số thẻ vào đúng ô.

1 The price of bánh mì falls from 20,000₫ to 15,000₫.	**2** The price of phở (a substitute) rises.
3 A TikTok star says bánh mì is the best breakfast.	**4** Students near the shop go home for the summer.
5 The price of bánh mì rises to 30,000₫.	**6** Workers get a Tết bonus. (Bánh mì is a normal good.)
7 The news says street bánh mì is unsafe.	**8** People buy coffee with bánh mì. The price of coffee rises.
9 A new school opens next to the shop.	**10** The price of xôi (a substitute) falls.

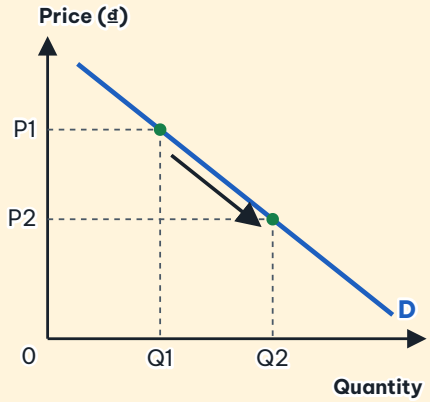
Move ALONG the curve:	**Shift RIGHT (increase):**	**Shift LEFT (decrease):**

THINK 5

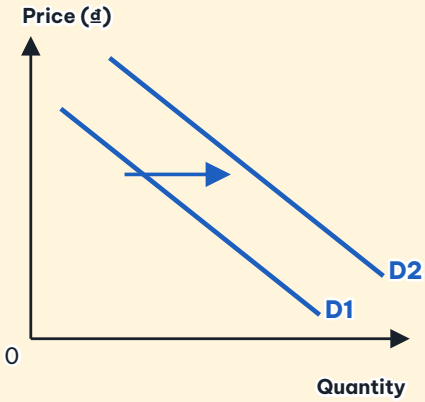
Spot the difference

Look at each diagram. Write **movement** or **shift**. Then choose a card from Think 4 that could cause it.

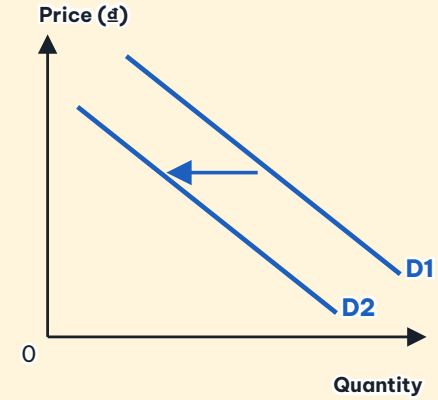
Nhìn mỗi biểu đồ. Viết "movement" (di chuyển) hoặc "shift" (dịch chuyển).



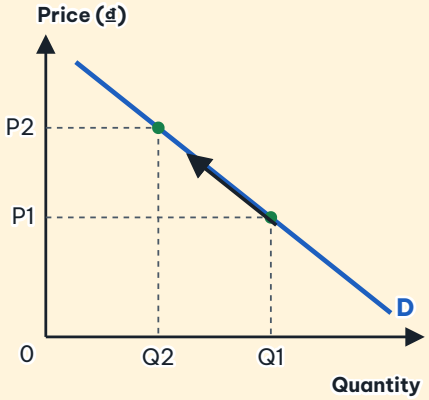
(a) _____ · card _____



(b) _____ · card _____



(c) _____ · card _____



(d) _____ · card _____

Memory hook: PASIFIC (things that SHIFT demand)
Yếu tố quyết định cầu

P	**Population.** A new school opens → more students buy bánh mì → shift right.
A	**Advertising.** A great TikTok ad for a trà sữa shop → shift right.
S	**Substitutes.** Phở costs more → people buy bánh mì instead → bánh mì shifts right.
I	**Income.** Tết bonus → people buy more normal goods → shift right.
F	**Fashion.** Everyone wants matcha drinks now → shift right.
I	**Interest rates.** Loans are cheaper → people buy more motorbikes → shift right.
C	**Complements.** Petrol is cheaper → people buy more petrol motorbikes → shift right.

Paper 1 practice

5. What causes a movement along the demand curve for laptops?

A a rise in consumers' incomes
B an advertising campaign for laptops
C a rise in the price of tablets
D a fall in the price of laptops

6. Coffee and tea are substitutes. The price of tea rises. What happens in the coffee market?

A The demand curve for coffee shifts right.
B The demand curve for coffee shifts left.
C Demand for coffee contracts along the curve.
D The supply curve for coffee shifts right.

7. Which change is an extension of demand?

A Price rises from 30,000₫ to 45,000₫; people buy 80, not 100.
B Incomes rise; people buy 30% more at the same price.
C Price falls from 40,000₫ to 25,000₫; people buy 85, not 50.
D Tastes change; people buy 30% less at the same price.

8. What is effective demand?

A wishing to own a product, without the money
B wanting a product and having money to buy it
C the total amount of a product that firms make
D the amount the government tells people to buy

Paper 2 practice

READ FIRST · ĐỌC TRƯỚC

Motorbikes in Hồ Chí Minh City

Most people in Hồ Chí Minh City travel by motorbike. There are **petrol motorbikes** and **electric motorbikes**. Electric motorbikes are cheaper to run. Young people think they are modern and clean. Incomes in Việt Nam are rising.

Price of petrol (practice figures)	₫ per litre
January	24,000
June	20,000

Define **(a) Define *effective demand*.** **[2]**

Step 1: Choose the best answer. · Chọn đáp án đúng nhất.

A Wanting a product.

B Wanting a product and having the money to buy it.

C The number of products in a shop.

Step 2: Copy it. Underline the 2 key ideas: wanting and able to pay.

Explain **(b) Explain two non-price factors that could cause an increase in demand for electric motorbikes in Việt Nam.** **[4]**

Step 1: Fill the gaps. Use the word bank.

incomes | normal | price | right | tastes | increases

One factor is rising _____. Electric motorbikes are a _____ good. People have more money, so they buy more at every _____. The demand curve shifts to the _____. A second factor is a change in _____. Young people think electric motorbikes are modern and clean. More people want them at each price, so demand _____.

Step 2: Now you. Use a different factor. Imagine the price of petrol rises.

Another factor is _____. Petrol motorbikes now cost more to _____, so people switch to _____. Demand for electric motorbikes _____.

> **Watch out:** "electric motorbikes get cheaper" is a **price** factor. It is a movement, not a shift. Do not use it.

Analyse **(c) Analyse how a decrease in the price of petrol affects the market for petrol motorbikes and the market for electric motorbikes.** **[6]**

Step 1: Put the 6 steps in order.

A Petrol is cheaper, so petrol motorbikes are cheaper to use.

B Demand for petrol motorbikes increases. The curve shifts right.

C Petrol and petrol motorbikes are complements. Petrol motorbikes and electric motorbikes are substitutes.

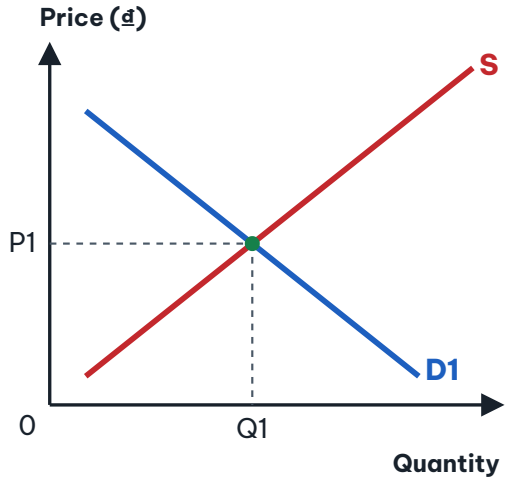
D The price and quantity of electric motorbikes fall.

E The price and quantity of petrol motorbikes rise.

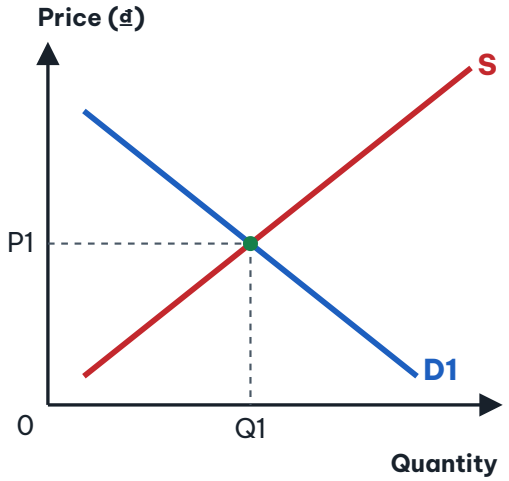
F Some people switch away from electric motorbikes. Demand shifts left.

Order: ☐ → ☐ → ☐ → ☐ → ☐ → ☐

Step 2: Finish both diagrams. Add D2, P2 and Q2.



Petrol motorbikes: shift D to the **right**.



Electric motorbikes: shift D to the **left**.

Step 3: Write the steps as sentences in your notebook.

SECTION 2.3

2.3 Supply

Cung

Words

supply
How much sellers want to sell **and** can make, at each price.
Exam: the quantity producers are willing and able to sell at each price in a given time period.
cung

law of supply
Price goes up → sellers sell more.
Price goes down → sellers sell less.
So the supply curve goes up.
luật cung

extension of supply
Price rises → sellers sell more. Move UP along the curve.
lượng cung tăng (di chuyển lên dọc đường cung)

contraction of supply
Price falls → sellers sell less. Move DOWN along the curve.
lượng cung giảm (di chuyển xuống dọc đường cung)

increase in supply
Sellers sell more at **every** price. The curve shifts RIGHT.
cung tăng (đường cung dịch chuyển sang phải)

decrease in supply
Sellers sell less at **every** price. The curve shifts LEFT.
cung giảm (đường cung dịch chuyển sang trái)

indirect tax
A tax the seller pays on each product. Costs go up.
Example: a tax on sugary drinks.
thuế gián thu

subsidy
Money from the government to sellers. Costs go down.
Example: money for rice farmers.
trợ cấp

costs of production
The money a firm spends to make a product.
wages, fertiliser, rent
chi phí sản xuất

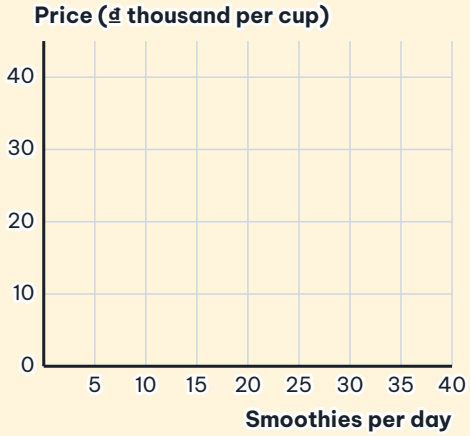
condition of supply
Anything (not the price) that changes supply. See PINTS WC.
yếu tố quyết định cung

THINK 1

My smoothie stall

You sell sinh tố xoài (mango smoothies) at the school fair. How many will you make in one day at each price? Write your numbers. Plot them and join the dots in red.

Bạn bán sinh tố xoài ở hội chợ trường. Bạn sẽ làm bao nhiêu ly mỗi ngày ở mỗi mức giá?



Price per cup	Smoothies I make
10,000₫	
20,000₫	
30,000₫	
40,000₫	

When the price goes up, I make **more** / **fewer**. Why? _____

My line goes **up** / **down** from left to right.

THINK 2

Mango prices double

A storm hits the mango farms. At the market, mangoes now cost **twice as much**. How many smoothies will you make at **each** price now? Plot the new numbers with a dotted line.

Giá xoài tăng gấp đôi. Bây giờ bạn làm bao nhiêu ly ở MỖI mức giá?

Price per cup	Before (copy)	After mango prices double
10,000₫		
20,000₫		
30,000₫		
40,000₫		

Your costs went **up** / **down**. You make **more** / **fewer** at every price. The supply curve shifts **left** / **right**. This is a _____ in supply.

THINK 3

Move or shift? Your smoothie stall

1 The smoothie price rises to 40,000₫.	**2** Mangoes cost more at the market.
3 You buy a faster blender.	**4** The smoothie price falls to 10,000₫.
5 A friend helps you, so you make more each hour.	**6** The school charges a fee on each smoothie you sell.

Move ALONG the curve:	Shift RIGHT (increase):	Shift LEFT (decrease):

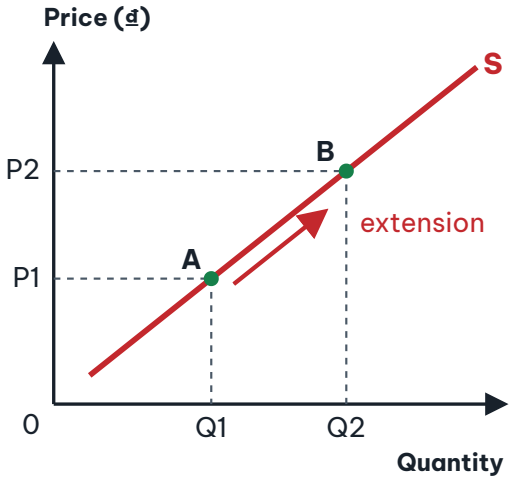
THINK 4

News headlines

For each headline: which curve changes (**D** or **S**)? Is it a **movement** or a **shift**? Which way? Draw an arrow: → (right), ← (left), or ↕ (along).

Với mỗi tiêu đề: đường nào thay đổi (cầu hay cung)? Di chuyển hay dịch chuyển? Hướng nào?

Headline	D or S?	Move or shift?	Arrow
a. Typhoon hits rice fields in Central Việt Nam			
b. New coffee-picking machines in Đắk Lắk			
c. Government gives money to rice farmers			
d. Fertiliser price goes up 25%			
e. Rice price rises; farmers sell more rice			
f. New tax on sugary drinks			
g. More families open durian farms			
h. Bubble tea is popular on TikTok			





Movement along: only the price of the product changes.

Shift: something else changes (PINTS WC).

Memory hook: PINTS WC (things that SHIFT supply)
Yếu tố quyết định cung

P	**Productivity.** Workers make more each hour → shift right.
I	**Indirect taxes.** A new tax on sugary drinks → costs up → shift left.
N	**Number of firms.** More families open durian farms → shift right.
T	**Technology.** Coffee-picking machines in Đắk Lắk → shift right.
S	**Subsidies.** Government money for rice farmers → shift right.
W	**Weather.** A typhoon destroys rice fields → shift left.
C	**Costs.** Fertiliser or wages go up → shift left.

Paper 1 practice

9. Which event shifts the supply curve of rice to the right?

A Farmers start using new harvesting machines.
B A long drought damages the rice fields.
C Wages paid to farm workers increase.
D The government adds a tax on fertiliser.

10. The government gives a subsidy to solar panel makers. What happens?

A Demand for solar panels shifts to the left.
B Supply contracts along the supply curve.
C Producers' costs of production increase.
D The supply curve shifts to the right.

11. What causes an extension of supply of smartphones?

A a fall in the cost of microchips
B new robots in assembly factories
C a rise in the price of smartphones
D a cut in the tax on smartphone firms

12. The government raises the tax on soft drinks. What happens to soft drink supply?

A Firms supply more at every price.
B The supply curve shifts to the left.
C The demand curve shifts to the right.
D Supply extends along the supply curve.

Paper 2 practice

READ FIRST · ĐỌC TRƯỚC

Coffee in the Central Highlands and laptops in Bắc Ninh

Coffee. Việt Nam grows a lot of coffee in Đắk Lắk. Some years there is a drought. Fertiliser and wages cost more now. Some farmers cut down coffee trees to grow durian.

Laptops. Factories in Bắc Ninh make laptops. Some factories now use robots.

Coffee farm costs (practice figures)	Last year	This year
Fertiliser, ₫ per bag	600,000	750,000
Wage, ₫ per day	250,000	300,000

Define **(a) Define the term *supply*.** **[2]**

Step 1: Choose the best answer.

A The quantity producers are willing and able to sell at each price in a time period.

B The quantity people want to buy at each price.

C All the goods in a factory.

Step 2: Copy it. Underline the 2 key ideas: willing and able to sell and at each price.

Explain **(b) Explain two factors that could cause a decrease in the supply of coffee beans.** **[4]**

Step 1: Fill the gaps. Use the word bank.

weather | less | left | costs | profitable

One factor is bad _____, for example a drought in the Central Highlands. The coffee trees are damaged, so farmers grow _____ coffee at every price. The supply curve shifts to the _____. A second factor is higher _____ of production. Fertiliser now costs 750,000₫ a bag. Coffee is less _____, so farmers supply less at each price.

Step 2: Now you. Use a different factor: farmers switch to durian.

Another factor is a fall in the number of _____. Some farmers grow durian instead, so there are _____ coffee farms. Less coffee is supplied at every price. The supply curve shifts _____.

> **Watch out:** "the price of coffee falls" is a movement (contraction), not a shift. Do not use it.

Analyse **(c) Analyse how the introduction of robots in factories affects the supply and the price of laptops.** **[6]**

Step 1: Put the 6 steps in order.

A Robots are new technology. Workers make more laptops each hour.

B At the old price, there are more laptops than people want. There is a surplus.

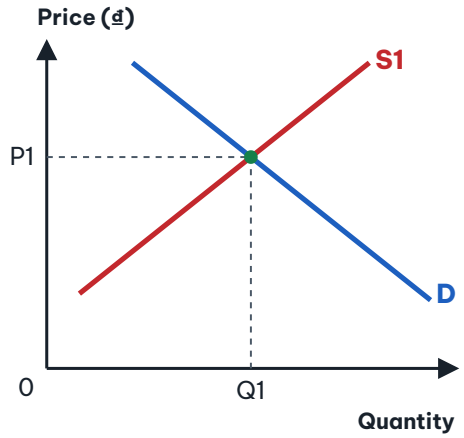
C The cost of making each laptop falls.

D New equilibrium: lower price and higher quantity.

E Firms supply more at every price. Supply shifts right.

F Firms cut prices to sell. As the price falls, demand extends.

Order: ☐ → ☐ → ☐ → ☐ → ☐ → ☐



Step 2: Add S2, P2, Q2 and the surplus at P1.

Step 3: Write the steps as sentences in your notebook.

> **Watch out:** finish the chain. The question asks about the **price** too.

SECTION 2.4

2.4 Price determination

Sự hình thành giá

Words

equilibrium
Buyers want to buy exactly what sellers want to sell.
Quantity demanded = quantity supplied.
trạng thái cân bằng

equilibrium price
The price where the D and S curves cross.
No shortage. No surplus. The price stays the same.
giá cân bằng

shortage (excess demand)
Not enough for everyone. The price is too low. It goes **up**.
thiếu hụt (dư cầu)

surplus (excess supply)
Too much is left. The price is too high. It goes **down**.
dư thừa (dư cung)

disequilibrium
There is a shortage or a surplus. The price will change.
mất cân bằng

signal · incentive · rationing
The 3 jobs of price: it tells, it rewards, it shares out.
tín hiệu · khuyến khích · phân phối

THINK 1

The fish market at 5 pm

Cô Hoa sells fish. It is 5 pm. The market closes at 6 pm. She still has **30 kg** of fish. Tomorrow the fish will not be fresh.

Cô Hoa bán cá. 5 giờ chiều, cô còn 30 kg cá. Ngày mai cá sẽ không còn tươi.

What will she do? Tick ✓ one: ☐ raise the price ☐ cut the price ☐ keep the same price

There is a **shortage** / **surplus** of fish. So the price goes **up** / **down**.

THINK 2

Concert tickets

A famous singer comes to Hà Nội. **5,000** fans want tickets. There are only **1,000** seats.

5.000 người hâm mộ muốn mua vé. Chỉ có 1.000 chỗ ngồi.

Is there a **shortage** or a **surplus**? _____ How big? _____ tickets

What happens to ticket prices online? **up** / **down**. Why?

_____

THINK 3

Find where they meet: a bánh xèo stall

Price per plate	Plates buyers want	Plates the stall makes	Shortage or surplus? How many?	Price goes up or down?
20,000₫	100	20		
30,000₫	80	40		
40,000₫	60	60		
50,000₫	40	80		
60,000₫	20	100		

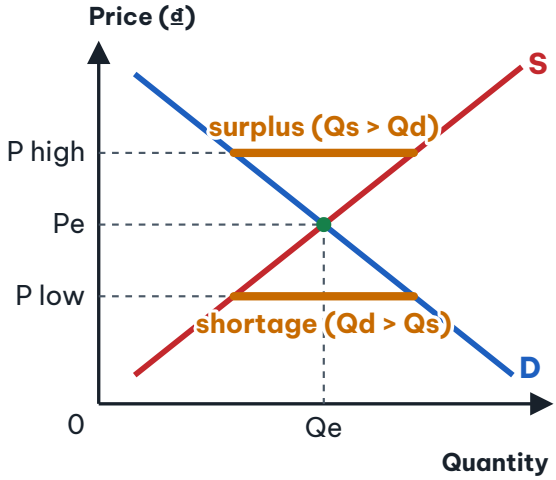
Circle the equilibrium row. Equilibrium price = _____ Quantity = _____ plates.

THINK 4

Two changes at once

Demand **increases** and supply **decreases** at the same time. Circle the words.

	Price	Quantity
Demand increases (shift right)	up / down	up / down
Supply decreases (shift left)	up / down	up / down
Together	up for sure / not sure	up for sure / not sure



Price too high: surplus, price falls. Price too low: shortage, price rises.

How to find a shortage or surplus

1. Find the price.
2. Go across to **D**. Read down: **Qd**.
3. Go across to **S**. Read down: **Qs**.
4. Take the smaller from the bigger.

Qd = lượng cầu · Qs = lượng cung

Paper 1 practice

13. When is a market in equilibrium?

A when the government fixes the price
B when firms' costs equal their revenue
C when quantity demanded equals quantity supplied
D when all consumers can afford the product

14. The price is above the equilibrium price. What will happen?

A There is a surplus and the price will fall.
B There is a shortage and the price will rise.
C There is a surplus and the price will rise.
D There is a shortage and the price will fall.

15. There is a shortage of concert tickets. How does a free market remove it?

A The price falls; demand extends and supply contracts.
B The supply curve shifts left until it meets demand.
C The demand curve shifts right until it meets supply.
D The price rises; demand contracts and supply extends.

16. Incomes rise. The product is a normal good. What happens to the equilibrium price and quantity?

A Price falls and quantity falls.
B Price rises and quantity rises.
C Price rises and quantity falls.
D Price falls and quantity rises.

Paper 2 practice

READ FIRST · ĐỌC TRƯỚC

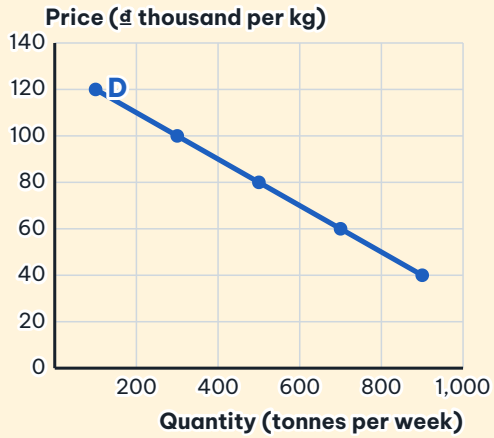
The durian market in the Mekong Delta

More durian is now sold to China, so demand has increased. In the dry season, drought and salt water can damage durian farms.

Price (₫ per kg)	Quantity demanded (tonnes)	Quantity supplied (tonnes)
40,000	900	100
60,000	700	300
80,000	500	500
100,000	300	700
120,000	100	900

WARM-UP

Plot the durian market



1. The demand points are done. Plot the **supply** points in red and join them.
2. Where do the lines cross? Price = _____₫, quantity = _____ tonnes.
3. At 60,000₫: shortage or surplus? _____ of _____ tonnes.

State **(a) State what is meant by *equilibrium price*.** **[2]**

Step 1: Choose the best answer.

A The highest price in the market.

B The price that the government chooses.

C The price where quantity demanded equals quantity supplied, so there is no shortage or surplus.

Step 2: Copy it. Underline the 2 key ideas: Qd = Qs and no shortage or surplus.

Explain **(b) Using the table, explain how the market moves from a surplus back to equilibrium.** **[4]**

Step 1: Fill the gaps. Use the table and the word bank.

700 | 300 | surplus | cut | extends | contracts | 80,000

At 100,000₫, sellers want to sell _____ tonnes. Buyers want only _____ tonnes. There is a _____ of 400 tonnes. Sellers have durian they cannot sell, so they _____ the price. As the price falls, demand _____. Supply _____. This stops at _____₫, where 500 = 500.

Step 2: Now you. Explain the shortage at 60,000₫.

At 60,000₫, buyers want _____ tonnes, but sellers sell only _____ tonnes. There is a _____ of _____ tonnes. The price goes _____. Demand _____ and supply _____ until Qd = Qs.

Analyse **(c) Analyse the effects on the equilibrium price and quantity of durian when demand increases and supply decreases at the same time.** **[6]**

Step 1: Put the 6 steps in order.

A Both changes push the price up. The equilibrium price rises for sure.

B More durian goes to China. Demand increases: the demand curve shifts right.

C If the demand change is bigger, quantity rises. If the supply change is bigger, quantity falls.

D Drought and salt water damage farms. Supply decreases: the supply curve shifts left.

E Quantity: demand pushes it up, supply pushes it down. We are not sure.

F At the old price, there is a big shortage. Buyers push the price up.

Order: ☐ → ☐ → ☐ → ☐ → ☐ → ☐

Step 2: Draw two diagrams in your notebook: one where demand shifts more, one where supply shifts more.

Step 3: Write the steps as sentences.

> **Watch out:** do not say quantity "stays the same". Say "we are not sure; it depends on which shift is bigger".

SECTION 2.5

2.5 Price changes

Sự thay đổi giá

Words

cause of a price change
The price changes only when a curve **shifts**.
First something that is not the price changes. Then the curve shifts.
nguyên nhân làm giá thay đổi

new equilibrium
The point where the new curves cross.
New price (P2) and new quantity (Q2).
điểm cân bằng mới

uncertain
Two curves shift. We are **not sure** about price (or quantity).
It depends on which shift is bigger.
không chắc chắn

related markets
Two markets that are linked. A change in one market moves demand in the other.
thị trường liên quan

substitute
You use it **instead of** another product.
a flight or the ferry to Phú Quốc
hàng hóa thay thế

complement
You use it **together with** another product.
a flight and a hotel room
hàng hóa bổ sung

5 steps for every price change

5 bước cho mọi sự thay đổi giá

1. **What changed?** Does it change **buyers**, **sellers**, or **both**? Cái gì thay đổi? Người mua, người bán, hay cả hai?
2. **Which curve? Which way?** D or S. Right or left.
3. **Old price:** shortage or surplus?
4. **The price moves:** up or down. Demand and supply extend or contract.
5. **New equilibrium:** new price and new quantity.

THINK 1

Buyers, sellers or both?

Use step 1. Write each card number in the right box.

Dùng bước 0. Viết số thẻ vào đúng ô.

1 A TikTok star loves dragon fruit smoothies.	**2** A storm damages vegetable farms in Đà Lạt.
3 Workers get higher wages. (Phones are a normal good.)	**4** A new machine makes bánh mì faster.
5 The government adds a new tax on beer.	**6** News says eggs are healthy, and bird flu kills many chickens.
7 More tourists visit Hội An. (hotel rooms)	**8** Fertiliser gets cheaper. (rice)

Buyers → D shifts:	**Sellers → S shifts:**	**Both → D and S shift:**

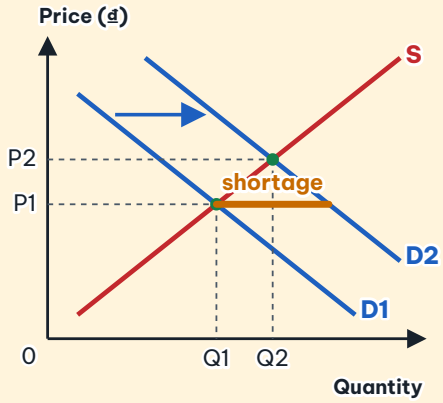
> **Watch out:** most events shift **one** curve. Some events shift **both**. Always ask: buyers, sellers, or both?

THINK 2

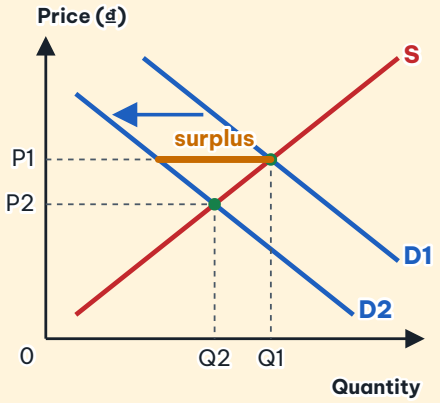
The four cases

Look at each diagram. Find P1 and P2, Q1 and Q2. Circle **up** or **down**.

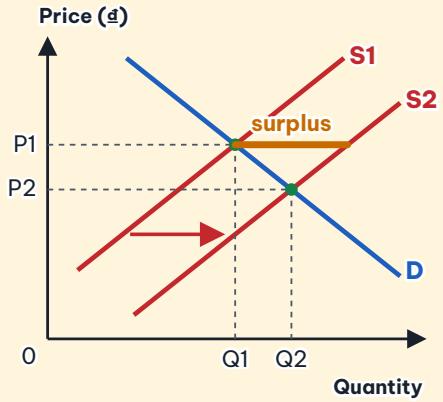
Nhìn mỗi biểu đồ. Tìm P1, P2, Q1, Q2. Khoanh "up" (tăng) hoặc "down" (giảm).



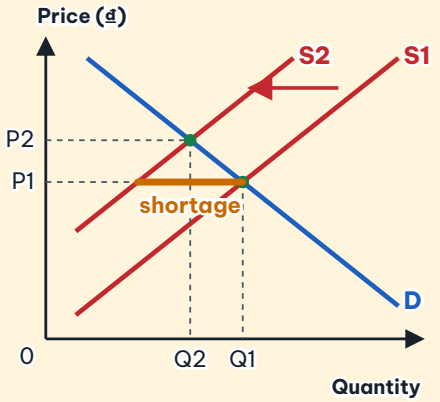
(a) Demand increases



(b) Demand decreases



(c) Supply increases



(d) Supply decreases

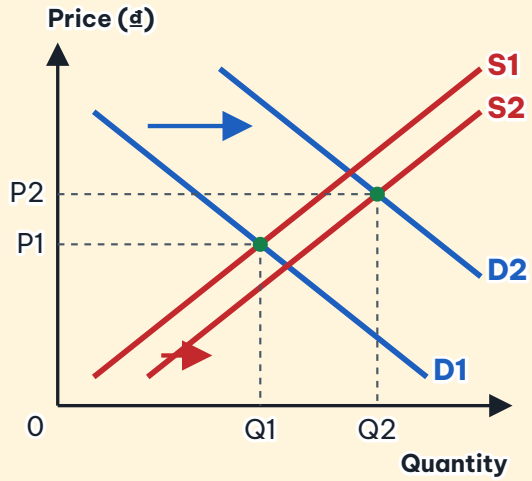
	Shortage or surplus at P1?	Price	Quantity
(a) Demand increases		up / down	up / down
(b) Demand decreases		up / down	up / down
(c) Supply increases		up / down	up / down
(d) Supply decreases		up / down	up / down

THINK 3

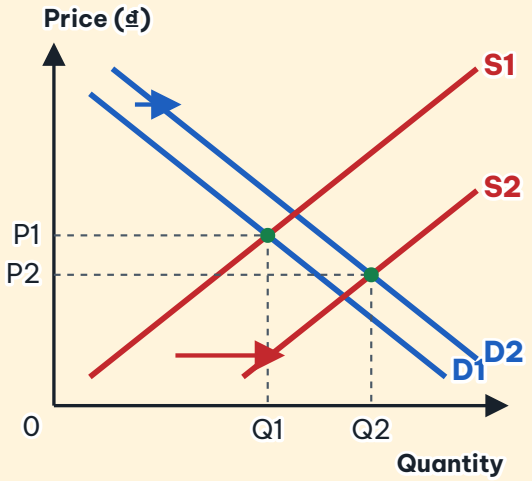
Tug of war: both curves shift

Each shift **pushes** the price and the quantity. Look at the two diagrams. Demand and supply **both increase**.

Mỗi dịch chuyển "đẩy" giá và lượng. Cầu và cung cùng tăng.



(a) Demand shifts more.



(b) Supply shifts more.

In (a), the price goes **up** / **down**. In (b), the price goes **up** / **down**. In both, the quantity goes **up** / **down**.

So: quantity goes up **for sure** / **not sure**. Price is **for sure** / **not sure**.

> **Rule:** two pushes the **same way** → we are sure. Two pushes **opposite ways** → not sure (uncertain). It depends on which shift is bigger.

THINK 3 (CONTINUED)

Use the rule for all four pairs

Write **up**, **down** or **not sure**. · Viết "up", "down" hoặc "not sure".

Both changes	Price	Quantity
Demand increases + supply increases		
Demand decreases + supply decreases		
Demand increases + supply decreases		
Demand decreases + supply increases		

THINK 4

Cheaper flights to Phú Quốc

Flights from Hồ Chí Minh City to Phú Quốc get **cheaper**. Circle the words.

Vé máy bay đi Phú Quốc rẻ hơn. Khoanh từ đúng.

Hotel rooms on Phú Quốc. Flights and hotel rooms are **substitutes** / **complements**. More people fly, so demand for hotel rooms shifts **left** / **right**. At the old price there is a **shortage** / **surplus**. Hotel prices go **up** / **down**.

The ferry from Rạch Giá. Flights and the ferry are **substitutes** / **complements**. Some people fly instead, so demand for ferry tickets shifts **left** / **right**. At the old price there is a **shortage** / **surplus**. Ferry prices go **up** / **down**.

The flight market. The price of flights changed. So in the flight market, it is a **movement along** / **shift of** the demand curve.

THINK 5

One event, two curves: a heatwave in Hà Nội

It is very hot. More people want ice cream. There are power cuts, so ice cream factories make less.

Trời rất nóng. Nhiều người muốn ăn kem hơn. Mất điện nên nhà máy làm ít kem hơn.

Demand shifts **left** / **right**. Supply shifts **left** / **right**.

Price: **up for sure** / **not sure**. Quantity: **up for sure** / **not sure**.

Paper 1 practice

17. Heavy rain destroys many vegetable farms in Đà Lạt. What happens to the price and quantity of vegetables?

A Price falls and quantity rises.
B Price rises and quantity rises.
C Price rises and quantity falls.
D Price falls and quantity falls.

18. Demand increases. Supply also increases. What must happen?

A The equilibrium quantity rises.
B The equilibrium price rises.
C The equilibrium price falls.
D The equilibrium quantity falls.

19. Smartphones get cheaper. What happens in the market for phone cases?

A Demand shifts left and the price falls.
B Supply shifts right and the price falls.
C Supply shifts left and the price rises.
D Demand shifts right and the price rises.

20. Which change makes the price of bánh mì fall?

A a rise in the price of phở
B a new bakery opening nearby
C a rise in the cost of flour
D a rise in consumers' incomes

Paper 2 practice

READ FIRST · ĐỌC TRƯỚC

Dragon fruit in Bình Thuận

Bình Thuận grows a lot of dragon fruit (thanh long). Many farmers now use LED lamps at night. The lamps help the plants make more fruit each year. Many new farms have also been planted.

Exports to China have fallen, because the checks at the border are stricter. Watermelon is grown in the same region. It is sold in the same markets.

Farm-gate price of dragon fruit (practice figures)	₫ per kg
2024	30,000
2026	12,000

Define **(a) Define *a decrease in demand*.** **[2]**

Step 1: Choose the best answer. · Chọn đáp án đúng nhất.

A People buy less because the price goes up.

B Less is demanded at every price, because a condition of demand changes. The curve shifts left.

C Sellers sell less at every price.

Step 2: Copy it. Underline the 2 key ideas: less at every price and a condition of demand changes.

Explain **(b) Explain two reasons why the farm-gate price of dragon fruit fell from 30,000₫ to 12,000₫ per kg.** **[4]**

Step 1: Fill the gaps. Use the word bank. · Điền vào chỗ trống.

LED lamps | every | right | surplus | cut | exports | left

One reason is new technology: farmers use _____ at night. Farms grow more fruit at _____ price, so the supply curve shifts to the _____. At the old price there is a _____, so farmers _____ the price. A second reason is that _____ to China fall. Less dragon fruit is demanded at every price, so the demand curve shifts to the _____. The price falls even more.

Step 2: Now you. Use a different supply reason: new farms.

Another reason is that many _____ farms were planted. The number of _____ goes up, so supply _____.

Watch out: "people bought less" is not a reason. Say **what changed**.

Analyse **(c) Analyse how the fall in the price of dragon fruit could affect the market for watermelon.** **[6]**

Step 1: Put the 6 steps in order. · Sắp xếp 6 bước theo đúng thứ tự.

A Sellers cut the price. Supply contracts. Demand extends.

B Dragon fruit and watermelon are substitutes.

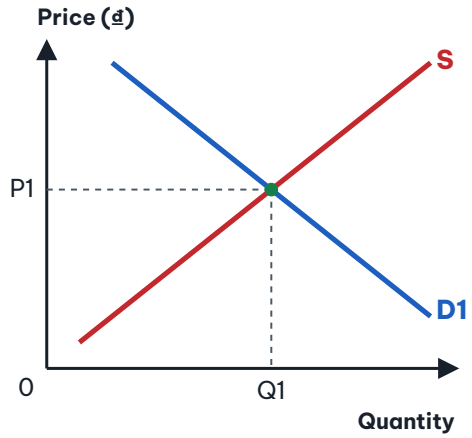
C New equilibrium: the price and the quantity of watermelon are both lower.

D Demand for watermelon decreases. The demand curve shifts left.

E Dragon fruit is cheaper, so some people buy it instead of watermelon.

F At the old price, there is a surplus of watermelon.

Order: ☐ → ☐ → ☐ → ☐ → ☐ → ☐



Step 2: Finish the diagram. Add D2, P2, Q2 and the surplus.

Step 3: Write the steps as sentences in your notebook. Join them with so, this means, as a result.

Watch out: only **demand** for watermelon shifts. The supply curve does not shift. Supply **contracts** (moves along the curve).

Answers

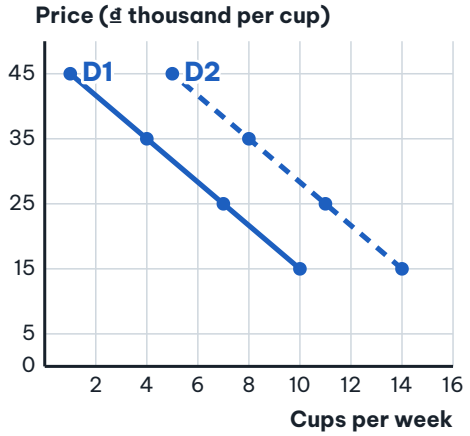
Đáp án

Try every task first. Then check here. The mark schemes were written for this book. They are not official Cambridge mark schemes.

2.1 Markets: Think tasks

- **Think 1:** Mrs Lan = S, Minh = B. Shopee shop = S, you = B. Yes, Shopee is a market: buyers and sellers trade there (online).
- **Think 2:** Product market: 1, 4, 6, 7. Factor market: 2, 3, 5, 8.
- **Think 3:** Signal = 2, Rationing = 3, Incentive = 4.

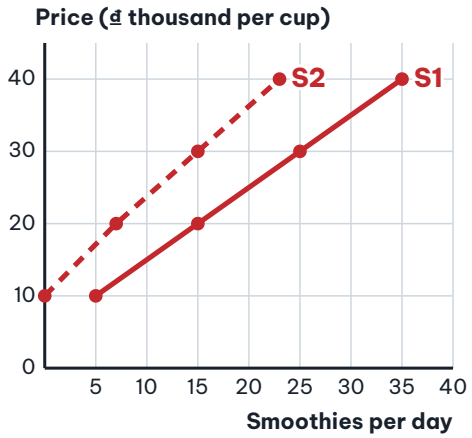
2.2 Demand: Think tasks



Example answer. Your numbers can be different.

- **Think 1:** Example: 10, 7, 4, 1 cups. Price up → **fewer** cups. The line goes **down**. This is the **law** of demand.
- **Think 2:** 25,000 → 35,000₫: up, fewer, **contraction**. 35,000 → 15,000₫: down, more, **extension**. The curve did **not** move.
- **Think 3:** Example: 14, 11, 8, 5. The numbers change at **every price**, so the curve shifts **right**: an **increase** in demand.
- **Think 4:** Move along: 1, 5. Shift right: 2, 3, 6, 9. Shift left: 4, 7, 8, 10.
- **Think 5:** (a) movement (extension), card 1. (b) shift right, card 2, 3, 6 or 9. (c) shift left, card 4, 7, 8 or 10. (d) movement (contraction), card 5.

2.3 Supply: Think tasks



Example answer. Your numbers can be different.

- **Think 1:** Example: 5, 15, 25, 35. Price up → **more**, because you earn more profit. The line goes **up**.
- **Think 2:** Example: 0, 7, 15, 23. Costs went **up**. You make **fewer** at every price. Supply shifts **left**: a **decrease** in supply.
- **Think 3:** Move along: 1, 4. Shift right: 3, 5. Shift left: 2, 6.

Think 4	Answer	Why
a. Typhoon	**S · shift · ←**	Weather destroys rice.
b. Machines	**S · shift · →**	Technology lowers costs.
c. Money to farmers	**S · shift · →**	Subsidy lowers costs.
d. Fertiliser price	**S · shift · ←**	Costs of production go up.
e. Rice price rises	**S · move · ↕**	The product's own price changed: extension.
f. Tax on sugary drinks	**S · shift · ←**	An indirect tax raises costs.
g. More durian farms	**S · shift · →**	Number of firms goes up.
h. TikTok bubble tea	**D · shift · →**	Fashion: this is **demand**, not supply!

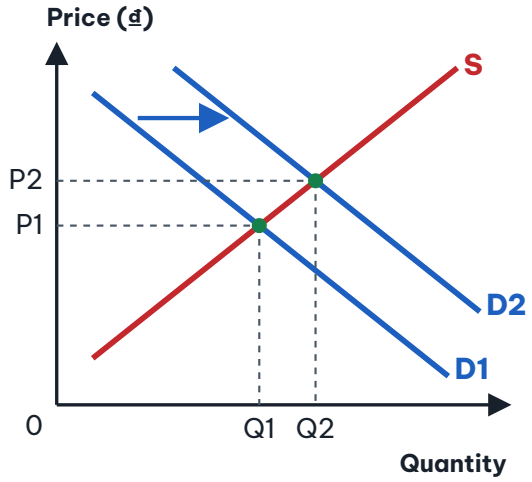
2.4 Price: Think tasks

- **Think 1:** Cut the price. There is a **surplus**, so the price goes **down**.
- **Think 2:** A **shortage** of 4,000 tickets. Prices go **up**: many fans compete for few tickets.
- **Think 3:** 20,000₫: shortage of 80, up. 30,000₫: shortage of 40, up. 40,000₫: equilibrium (60 plates). 50,000₫: surplus of 40, down. 60,000₫: surplus of 80, down.
- **Think 4:** Demand increases: price up, quantity up. Supply decreases: price up, quantity down. Together: price **up for sure**, quantity **not sure**.
- **Warm-up:** 80,000₫ and 500 tonnes. At 60,000₫: shortage of 400 tonnes.

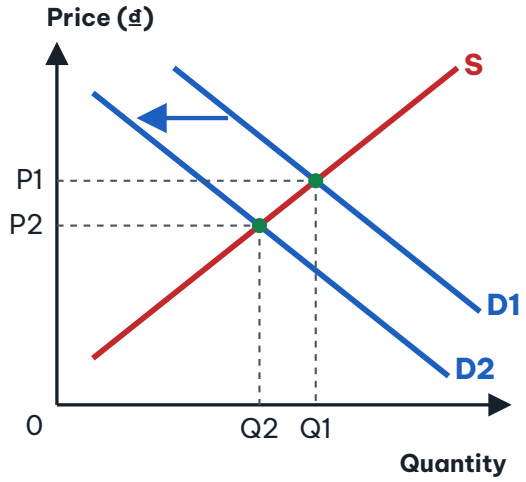
2.5 Price changes: Think tasks

- **Think 1:** Buyers (D): 1, 3, 7. Sellers (S): 2, 4, 5, 8. Both: 6 (demand for eggs shifts right, supply of eggs shifts left).
- **Think 2:** (a) shortage, price up, quantity up. (b) surplus, price down, quantity down. (c) surplus, price down, quantity up. (d) shortage, price up, quantity down.
- **Think 3:** (a) price up. (b) price down. Quantity up in both. So quantity goes up **for sure**; price is **not sure**.

Think 3 (continued)	Price	Quantity
Demand increases + supply increases	**not sure**	up
Demand decreases + supply decreases	**not sure**	down
Demand increases + supply decreases	**up**	not sure
Demand decreases + supply increases	**down**	not sure



Think 4: hotel rooms (complement). D shifts right. Price up.



Think 4: ferry tickets (substitute). D shifts left. Price down.

- **Think 4:** Hotels: complements, right, shortage, up. Ferry: substitutes, left, surplus, down. Flights: a **movement along** the demand curve (an extension).
- **Think 5:** Demand shifts **right**. Supply shifts **left**. Price: **up for sure**. Quantity: **not sure**.

Paper 1 answer key

Q	Answer	Why
1	**B**	A market brings buyers and sellers together.
2	**D**	A firm pays rent for a building: a factor (land).
3	**A**	Buyers are willing and able to pay: demand.
4	**C**	The price rises. This is a signal to producers.
5	**D**	Only the laptop's own price → movement along.
6	**A**	Tea costs more → people buy coffee instead → shift right.
7	**C**	Own price falls, people buy more: extension.
8	**B**	Wanting + able to pay.
9	**A**	New machines (technology) → shift right.
10	**D**	Subsidy lowers costs → shift right.
11	**C**	Only the own price → movement along (extension).
12	**B**	Tax raises costs → shift left.
13	**C**	Equilibrium: Qd = Qs.
14	**A**	Above equilibrium: surplus → price falls.
15	**D**	Shortage → price rises → demand contracts, supply extends.
16	**B**	Demand shifts right → price and quantity rise.
17	**C**	Bad weather → supply shifts left → price up, quantity down.
18	**A**	Both push quantity up → quantity rises for sure. Price is not sure.
19	**D**	Complements: more phones → more demand for cases → price up.
20	**B**	One more firm → supply shifts right → price falls.

BACK PAGES

Paper 2 mark schemes

Hướng dẫn chấm điểm Paper 2

How to mark: give 1 mark for each row only if the idea is clearly there. Different words are OK if the meaning is the same.

green = definitions yellow = steps in the chain [1] = 1 mark

2.1(a) Define market [2]

Choose: **B**. 1 mark: buyers and sellers. 1 mark: exchange goods and services.

MODEL ANSWER

A market is a place or system where buyers and sellers come together [1] to exchange goods and services. [1]

2.1(b) Product and factor markets [4]

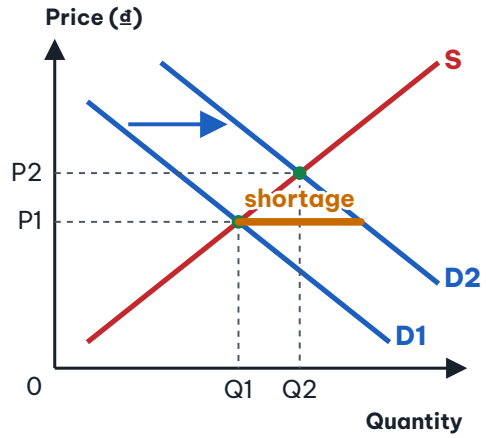
Give 1 mark for	Mark
Product market: households buy goods and services from firms	1
Example: a family buys an electric car	1
Factor market: firms buy or hire factors (labour, land, capital)	1
Example: the car maker hires engineers / rents land	1

MODEL ANSWER (GAPS FILLED)

In a product market, **households** buy goods and services from **firms**. [1] For example, a family buys an **electric car**. [1] In contrast, in a factor market, **firms** buy or hire factors of production, like **labour** and land. [1] For example, the car maker hires **engineers**. [1]

2.1(c) Price mechanism and electric cars [6]

Order: B → D → A → E → F → C. 1 mark for each step in your answer (max 6). **No mark** for "supply shifts right": supply **extends**.



D1 → D2. Shortage at P1. New P2, Q2.

MODEL ANSWER

Demand for electric cars increases, so the demand curve shifts right. **[1]** At the old price there is a shortage. **[1]** The price rises. This tells car makers that people want more cars. **[1]** Higher prices mean more profit, so firms hire more workers. Supply extends. **[1]** The higher price makes some buyers buy less. Demand contracts. **[1]** As a result, the new price and quantity are higher. More resources make electric cars. **[1]**

2.2(a) Define effective demand [2]

Choose: **B**. 1 mark: wanting / willing to buy. 1 mark: able to pay / has the money.

MODEL ANSWER

Effective demand is wanting to buy a product **[1]** and having the money to pay for it. **[1]**

2.2(b) Two non-price factors [4]

For each of 2 factors	Mark
Names a factor (not the price of electric motorbikes)	**1 + 1**
Says why people buy more at every price / demand shifts right	**1 + 1**

Also OK: petrol price rises, advertising, more people, cheaper loans, cheaper charging. **No mark:** "electric motorbikes get cheaper".

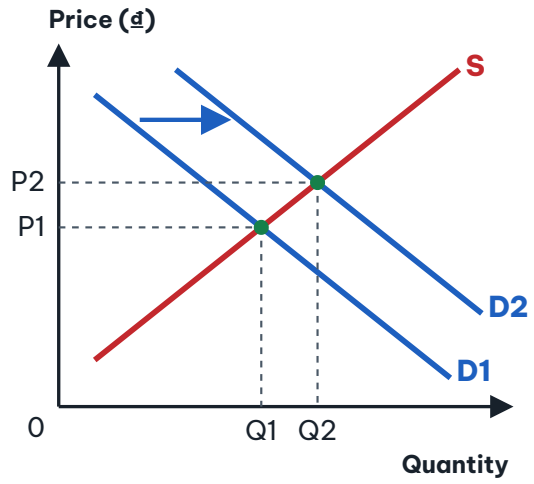
MODEL ANSWER (GAPS FILLED)

One factor is rising **incomes**. **[1]** Electric motorbikes are a **normal** good. People have more money, so they buy more at every **price**. The demand curve shifts to the **right**. **[1]** A second factor is a change in **tastes**. **[1]** Young people think electric motorbikes are modern and clean, so demand **increases**. **[1]**

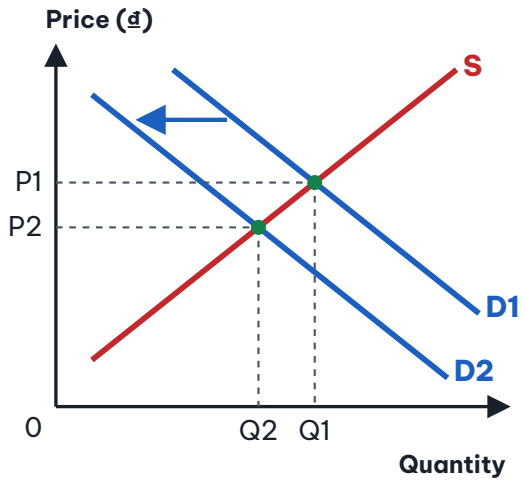
Step 2: a rise in the price of petrol · run · electric motorbikes · increases.

2.2(c) Cheaper petrol: two motorbike markets [6]

Order: C → A → B → E → F → D. 1 mark for each step (max 6). **No mark** for "supply of motorbikes changes": only **demand** shifts.



Petrol motorbikes: D shifts right.



Electric motorbikes: D shifts left.

MODEL ANSWER

Petrol and petrol motorbikes are complements. Petrol motorbikes and electric motorbikes are substitutes. **[1]** Petrol is cheaper, so petrol motorbikes are cheaper to use. **[1]** So demand for petrol motorbikes increases and the curve shifts right. **[1]** As a result, their price and quantity rise. **[1]** Some people switch away from electric motorbikes, so their demand shifts left. **[1]** This means the price and quantity of electric motorbikes fall. **[1]**

2.3(a) Define supply [2]

Choose: **A**. 1 mark: producers willing and able to sell. 1 mark: at each price, in a time period.

MODEL ANSWER

Supply is the quantity producers are willing and able to sell **[1]** at each price in a time period. **[1]**

2.3(b) Two factors that decrease coffee supply [4]

For each of 2 factors	Mark
Names a factor (weather, costs, fewer farmers, tax, pests…)	**1 + 1**
Says why farmers supply less at every price / supply shifts left	**1 + 1**

No mark: "the price of coffee falls" (that is a contraction).



S1 → S2: supply decreases.

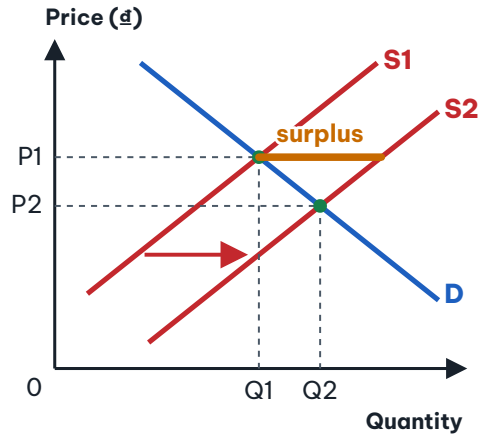
MODEL ANSWER (GAPS FILLED)

One factor is bad **weather**, for example a drought. [1] Farmers grow **less** coffee at every price. The supply curve shifts to the **left**. [1] A second factor is higher **costs** of production. [1] Coffee is less **profitable**, so farmers supply less at each price. [1]

Step 2: farmers / firms · fewer · left.

2.3(c) Robots and laptops [6]

Order: A → C → E → B → F → D. 1 mark for each step (max 6).



S1 → S2. Surplus at P1. New P2, Q2.

MODEL ANSWER

Robots are new technology, so workers make more laptops each hour. [1] This means the cost of each laptop falls. [1] So firms supply more at every price. Supply shifts right. [1] At the old price there is a surplus. [1] Firms cut prices. As the price falls, demand extends. [1] As a result, the price is lower and the quantity is higher. [1]

2.4(a) Equilibrium price [2]

Choose: **C**. 1 mark: Qd = Qs. 1 mark: no shortage or surplus / the price does not change.

MODEL ANSWER

Equilibrium price is the price where quantity demanded equals quantity supplied, **[1]** so there is no shortage or surplus. **[1]**

2.4(b) From a surplus to equilibrium [4]

Give 1 mark for	Mark
Uses the table: at 100,000₫, Qs 700 > Qd 300, surplus 400	**1**
Sellers cut the price	**1**
Demand extends	**1**
Supply contracts until Qd = Qs (80,000₫, 500 tonnes)	**1**

MODEL ANSWER (GAPS FILLED)

At 100,000₫, sellers want to sell **700** tonnes. Buyers want only **300** tonnes. There is a **surplus** of 400 tonnes. **[1]** Sellers **cut** the price. **[1]** As the price falls, demand **extends**. **[1]** Supply **contracts**. This stops at **80,000₫**. **[1]**

Step 2: 700 · 300 · shortage · 400 · up · contracts · extends.

2.4(c) Two changes at once [6]

Order: B → D → F → A → E → C. 1 mark for each step (max 6).



Demand shifts more: P up, Q up.



Supply shifts more: P up, Q down.

MODEL ANSWER

More durian goes to China, so demand increases and the demand curve shifts right. **[1]** Drought damages farms, so supply decreases and the supply curve shifts left. **[1]** At the old price there is a big shortage, so buyers push the price up. **[1]** Both changes push the price up, so the equilibrium price rises for sure. **[1]** Demand pushes quantity up but supply pushes it down, so we are not sure about quantity. **[1]** If the demand change is bigger, quantity rises. If the supply change is bigger, quantity falls. **[1]**

2.5(a) Define a decrease in demand [2]

Choose: **B**. 1 mark: less is demanded at every price. 1 mark: a condition of demand (not the price) changes / the curve shifts left. **No mark** for A: that is a **contraction**.

MODEL ANSWER

A decrease in demand is when less is demanded at every price, **[1]** because a condition of demand changes. The demand curve shifts left. **[1]**

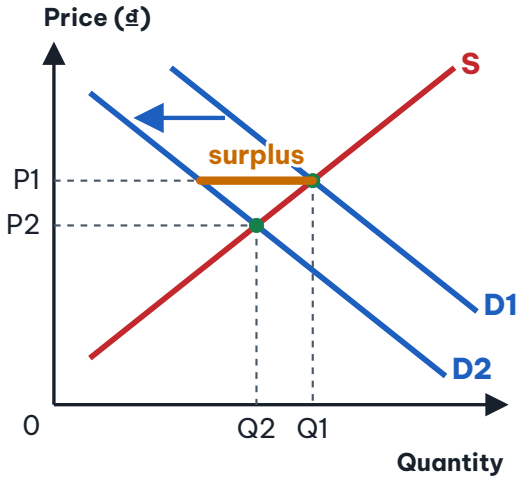
2.5(b) Two reasons why the price of dragon fruit fell [4]

For each of 2 reasons	Mark
Names a reason from the context: LED lamps or new farms (supply increases), or fewer exports to China (demand decreases)	**1 + 1**
Says which curve shifts and that a surplus at the old price makes the price fall	**1 + 1**

No mark: "people bought less" or "farmers sold more" with no reason.



Reason 1: S1 → S2 (supply increases).



Reason 2: D1 → D2 (demand decreases). Surplus at P1.

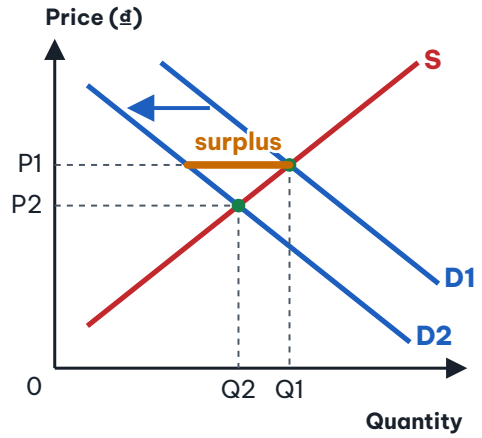
MODEL ANSWER (GAPS FILLED)

One reason is new technology: farmers use **LED lamps** at night. **[1]** Farms grow more fruit at **every** price, so the supply curve shifts to the **right**. At the old price there is a **surplus**, so farmers **cut** the price. **[1]** A second reason is that **exports** to China fall. **[1]** Less dragon fruit is demanded at every price, so the demand curve shifts to the **left**. The price falls even more. **[1]**

Step 2: new · farms / producers · increases (shifts right).

2.5(c) Dragon fruit and watermelon [6]

Order: B → E → D → F → A → C. 1 mark for each step (max 6). **No mark** for "supply of watermelon shifts left": only **demand** shifts.



D1 → D2. Surplus at P1. New P2, Q2.

MODEL ANSWER

Dragon fruit and watermelon are substitutes. **[1]** Dragon fruit is cheaper, so some people buy it instead of watermelon. **[1]** So demand for watermelon decreases, and the demand curve shifts left. **[1]** At the old price there is a surplus of watermelon. **[1]** Sellers cut the price. Supply contracts and demand extends. **[1]** As a result, the price and the quantity of watermelon are both lower. **[1]**

BACK PAGES

Glossary

Bảng thuật ngữ Anh–Việt

English	Tiếng Việt	Simple meaning
market	thị trường	where buyers and sellers trade
product market	thị trường hàng hóa và dịch vụ	families buy goods from firms
factor market	thị trường yếu tố sản xuất	firms buy or hire workers, land, machines
scarce	khan hiếm	not enough for everyone
price mechanism	cơ chế giá	prices decide what is made and who gets it
demand	cầu	want to buy and can pay, at each price
effective demand	cầu có khả năng thanh toán	want it and have the money
extension of demand	lượng cầu tăng (di chuyển xuống dọc đường cầu)	price falls, buy more
contraction of demand	lượng cầu giảm (di chuyển lên dọc đường cầu)	price rises, buy less
increase in demand	cầu tăng (đường cầu dịch chuyển sang phải)	buy more at every price
decrease in demand	cầu giảm (đường cầu dịch chuyển sang trái)	buy less at every price
condition of demand	yếu tố quyết định cầu	not the price; PASIFIC
substitute	hàng hóa thay thế	used instead of another
complement	hàng hóa bổ sung	used together with another
normal good	hàng hóa thông thường	more money → buy more
supply	cung	want to sell and can make, at each price
extension of supply	lượng cung tăng (di chuyển lên dọc đường cung)	price rises, sell more
contraction of supply	lượng cung giảm (di chuyển xuống dọc đường cung)	price falls, sell less

increase in supply	cung tăng (đường cung dịch chuyển sang phải)	sell more at every price
decrease in supply	cung giảm (đường cung dịch chuyển sang trái)	sell less at every price
condition of supply	yếu tố quyết định cung	not the price; PINTS WC
costs of production	chi phí sản xuất	money spent to make a product
indirect tax	thuế gián thu	tax on each product sold
subsidy	trợ cấp	government money for producers
equilibrium price	giá cân bằng	where Qd = Qs
shortage (excess demand)	thiếu hụt (dư cầu)	not enough; price goes up
surplus (excess supply)	dư thừa (dư cung)	too much; price goes down
signal · incentive · rationing	tín hiệu · khuyến khích · phân phối	the 3 jobs of price
new equilibrium	điểm cân bằng mới	where the new curves cross
uncertain	không chắc chắn	not sure; it depends on which shift is bigger
related markets	thị trường liên quan	markets for substitutes or complements